Micron Technology, Inc.

MU NASDAQ

Buy	$931.66 ▲ 3.09%	12M Price Target	52-Week Range	Market Cap
		$1050.00	$192.59 – $1255.00	$1.05T

MU: HBM Supercycle Rolls On, Policy Winds At Back

WHAT HAPPENED

- MU popped 3% on light volume (12.7M vs. the usual 20M+) — that's a quiet grind higher, not a frenzied buy. Translation: no single news catalyst, this looks like continuation of the bounce after last week's dip to $856, with the broader tech tape (+1.6%) pulling it along.
- Options flow is screaming bullish — somebody slammed $20M+ into near-dated $920-$930 calls at 10-20x the normal open interest. That's "smart money" betting on more upside into month-end, possibly front-running expected positive HBM commentary from NVDA/AVGO earnings season.

WHY IT MATTERS

Here's the real story: MU is up ~380% from its 52-week low ($192 to $931) and sitting at a $1T market cap — this is no longer a cyclical memory stock, it's being repriced as an AI infrastructure play. The HBM (high-bandwidth memory — the specialized chips that go into every NVIDIA GPU) shortage is tight through 2027, and MU is one of only three suppliers globally. The political backdrop matters a lot here: the Trump administration's expanded CHIPS Act implementation and the semiconductor tariff regime on Chinese memory (CXMT, YMTC) have effectively walled off a key low-cost competitor, letting MU, Samsung, and SK Hynix split a protected Western market. Watch for any sign that pricing power is peaking — that's the thing that ends this trade, not demand.

POLICY & POLITICAL WATCH

Two live wires right now: (1) the Commerce Department is finalizing additional export controls on advanced memory to China — a tightening helps MU's margins because it chokes off CXMT; a loosening (unlikely under current admin) would be a headwind. (2) MU is drawing down ~$6.1B in CHIPS Act grants for its Idaho and NY fabs, plus a 25% investment tax credit — any Congressional attempt to claw back or renegotiate CHIPS funding (there's been chatter from fiscal hawks) would hit the stock. Also keep an eye on Taiwan tensions — any escalation sends memory stocks ripping because supply gets questioned overnight.

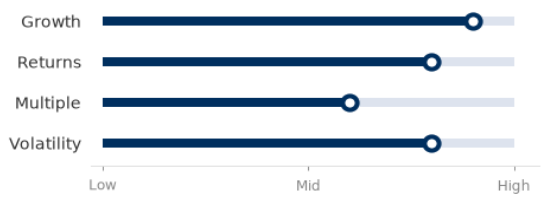
IS IT EXPENSIVE?

At ~$931 with ~$14 in forward EPS, MU trades around 65x earnings — expensive on the surface, but memory earnings are famously lumpy, so the right lens is EV/EBITDA around 22x, which is rich vs. its historical 8-10x but reasonable for a company growing revenue 50%+ into an AI capex boom. The question isn't "is it cheap" — it isn't — it's "does the HBM pricing cycle have another 18 months of runway?" If yes, you're paying a fair price; if the cycle peaks in mid-2027, this gets ugly fast.

Key Data

Price (USD)	**$931.66**
12M Price Target	**$1050.00**
Upside / (Downside)	**+12.7%**
Market Cap	**$1.05T**
FY2026E Revenue	**$48,500M**
FY2027E Revenue	**$62,000M**
FY2026E EPS	**$14.20**
FY2027E EPS	**$19.50**
Fwd P/E	**65.6x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

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MU — Micron Technology, Inc. | October 27, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$1020.00**	$970.00	**$850.00**
6 Months	**$1200.00**	$1050.00	**$780.00**
1 Year	**$1400.00**	$1100.00	**$720.00**
2 Years	**$1700.00**	$1250.00	**$650.00**
5 Years	**$2200.00**	$1500.00	**$500.00**
10 Years	**$3000.00**	$1800.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semiconductors and AI infrastructure — tech ETF +1.64% today, and the sub-sector is being driven by Q3 earnings showing hyperscaler capex still accelerating. Policy tailwind: CHIPS Act money is actually flowing now and the tariff wall around Chinese chips is holding.

COOLING OFF: Communications Services (-5.84% over 5 days) — ad-dependent names getting hit on softer consumer spend signals. Utilities quietly bid as the AI power trade matures.

ROTATION WATCH: Money is rotating from software to hardware/semis as investors realize the AI capex cycle rewards the "picks and shovels" (chips, memory, networking) before the software monetization catches up.

RELATED PLAY: If MU keeps running on HBM demand, the second-order winners are the memory test equipment makers (TER, Advantest) and the packaging/substrate names — they get paid regardless of which memory maker wins.

WHO'S WINNING IN THIS SPACE?

- NVDA (NVIDIA): The customer driving MU's whole bull case — every GPU they ship contains ~$2-3K of MU's HBM, so NVDA's demand is literally MU's revenue.
- AVGO (Broadcom): Riding the same AI networking/custom silicon wave with similar policy tailwinds.

MU CONTEXT: MU is leading its memory peer group (SK Hynix, Samsung) in US-listed exposure, and running neck-and-neck with the broader AI semi complex. The fact that it's sitting at 70% of its 52-week range with bullish options flow tells me institutions are positioning for a breakout, not a rollover.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm leaning in but not pounding the table because we're late in a massive run; the setup is still good but the easy money got made from $200 to $900.

POSITION SIZE: 3-5% — the upside is real but memory stocks can draw down 30% in a month on a bad data point, so size it where you can sleep through that.

ENTRY POINTS: I'd add on pullbacks to $860-890 (where buyers stepped in last week), or wait for a cleaner reset to the 50-day moving average if we get a tech-wide risk-off day.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is HBM4 ramp confirmation and 2027 pricing commentary from management.

WHEN TO BAIL: If Samsung qualifies HBM4 at NVIDIA, if hyperscaler capex guides down, or if MU revenue misses by more than 5% — any one of those breaks the thesis.

HEDGING: Buy some protective puts 10% below your cost basis — think of it as insurance that costs you ~2% a year but caps your downside if the cycle rolls over without warning.

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